PARTNERS of the AMERICAS
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September 2015 Board Meeting Minutes Annexes

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Partners of the Americas, Inc.
Board of Directors Meeting Minutes
July 23, 2015

A virtual meeting of the International Board of Directors (''Board'') of Partners of the Americas Inc., a District of Columbia nonprofit corporation (''Corporation''), was called to order by Board Chair Karen Graham at 1:17pm EST on Thursday, July 23, 2015.

Board members in attendance were Karen Graham, Harry Wing, Wayne Chance, Erik Brand, Jhani Laupus, Raaida Mannaa, and Lisa Martin. Staff present included: Steve Vetter, Matt Clausen, Horacio Correa, Michelle Nicholson, Peggy Carlson, Carmen Peña and Melissa Golloday. Legal Counsel to the Corporation, Alan Berkeley, was also in attendance. Mr. Jose Mario Corona audited the call in listen only mode due to technical difficulties. Mr. Sam Drew, Ms. Binka Le Breton and Mr. Christion Stalberg were absent but sent there apologies in advance. With quorum established, the meeting commences.

Chair Karen Graham passes the floor to Secretary of the Board Wayne Chance to present the minutes from the March 2015 board meeting. With no outstanding questions or concerns, Mr. Wing moves to accept the minutes and Mr. Brand seconds. The motion carries.

In keeping with the agenda, Mr. Steve Vetter presents his president's reports. He provides an update on the status of the draft 2014 audit report and the Corporation's overall financial health, citing further that senior management is working to reconcile issues that surfaced when the Corporation successfully reduced its overhead cost recovery rate (NICRA) from 30% to 23%. He explains that the shift in NICRA could result in a significant financial deficit and is evidence that the Corporation must find a steady stream of unrestricted income to provide a financial cushion against future losses. Mr. Vetter also announces that Partners' legal counsel and CFO are developing a proposal for the establishment of a private, for-profit company owned by the Corporation for the Board to consider as a new approach to raising unrestricted funds, to be presented in September he adds. He passes the floor to Michelle Nicholson and Matt Clausen to share the activities in the pipeline with unrestricted revenue potential. Before concluding, Mr. Vetter provides an update on the Corporation's 2015 goals, organizational restructuring, network mapping exercise and program curricula for increased program-chapter integration.

Ms. Graham moves to accept the President's report, Ms. Laupus seconds and the motions passes.

Mr. Brand takes the floor to present his Treasurer's Report. Financial statements through May indicate that the Corporation is currently underspending in its grants portfolio and he shares that staff are taking corrective actions to accelerate spending when and wherever possible. He also explains that the Corporation has reached the limit on its line of credit and interest is accruing. He notes positively that a partial payment has been received from the IDB towards the $1.2M reimbursement that the Corporations is owed and senior management is working to resolve this issue fully by the end of the year. Mr. Brand further shares that the Foundation's closing 2014 balance was $830K. He adds, that the basis point fees to manage the fund have

been reduced and that the Foundation board is seeking means to further save on costs and maximize returns and are therefore debating the merits of staying with the current fund manager. Mr. Brand turns the floor over to Mr. Correa who provides more detail from his financial report regarding NICRA recovery, its impact on the deficit and how that necessitates the diversification of the Corporation's revenue portfolio. Partners' legal counsel also takes the floor to share the strategy for looking deeper into the establishment of a new legal entity to allow for newer income possibilities while also maintaining the Corporations non-profit status.

Ms. Laupus asks for senior management to give a presentation on how NICRA works for the Board to better understand the complexities of the organization's financial position. Ms. Graham and Mr. Chance support this suggestion and a resolution is passed to accept the Treasurer's Report.

Following a series of staff program reports on the status of field operations and year to date progress toward goals, the meeting shifts to the Membership Development Committee led by Mr. Harry Wing. Mr. Wing asks the Board to approve the Charter applications on the Honduras Chapter, Uniatlantico Student Chapter, and Universidad EAFIT Student Chapter. Ms. Martin moves, Ms. Graham seconds and the Charter applications are approved. Mr. Wing also explains that the Brasilia Chapter submitted a proposal for their restructuring of their Chapter and he asks the Board to accept that proposal, stating further that former board chair Tasso Lugon and current board member Tiberio Monteiro will serve as the in-country legal advisors to the restructuring process. The board also passes this resolution unanimously. Before concluding, Mr. Wing reviews the status of 5 Chapters that are delinquent with their dues and updates the Board on an outreach strategy that will be conducted to help those Chapter become dues current and remain in good standing with the Corporation.

Ms. Graham takes the floor to share the report of the Board Development Committee. She explains the timeline of the 2015 Board election and need to get back in sync with electing 1/3 of the Board each year. Upon conclusion of her report, she requests that the Board move to request the early resignations of Mr. Mario Corona and Mr. Tiberio Monteiro so their seats can be opened up for the upcoming election. Based on the justifications provided, Mr. Wing moves to accept the resolution, Ms. Laupus seconds and the motion passes.

The meeting shifts to a discussion of new business and the floor is given to Michelle Nicholson. Ms. Nicholson explains her report on Partner's unrestricted fundraising opportunities and the focus of value creation through improved external relations and clear benefits and services to Partners network. She also discusses the current technology implementation which includes an upcoming launch of the Corporation's new website which focuses heavily on member recruitment and member services. She adds that there will be soft, live launch of the website at the end of July and that active promotion of the site will not begin until September. She concludes that the website is being launched in accordance with the Board's 2014 resolution to reserve all value and benefits from the Corporation to registered members only.

With no outstanding questions or concerns, the meeting shifts to old business and Mr. Vetter and Ms. Nicholson provide an update on the planning of the 2016 Convention. They propose a resolution to accept a provisional resolution to shift the Convention to October 26-29, 2016

contingent upon further clarity of Partners' financial picture that is expected to come by the end of September 2015. Mr. Brand notes the importance of corporate sponsorship and sees the convention as a revenue opportunity rather than a cost. Mr. Vetter affirms this and adds that the strategy moving forward will be to design a budget and revenue plan that will makes these events profitable.

Ms. Martin moves to accept the provisional resolution. Mr. Wing seconds and the motion carries.

Ms. Graham concludes the meeting with a report on the upcoming What Works! Conference, highlighting that over 75 registrations has been received from the network representing over 20 different Chapters.

With no further business to discuss Ms. Martin motions to adjourn. Mr. Wing seconds. Ms. Graham adjourns the meeting at 3:39pm.

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Respectfully Submitted,

Wayne Chance
Secretary,
Partners of the Americas, Inc.

Respectfully Submitted,

PARTNERS of the AMERICAS
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President's Report
September, 2015

In just a few days we will all be together for our in-person meeting. As you can imagine we are all quite excited about our meeting and have tried to structure our time together so that we have plenty of time to dig more deeply into a wide range of important issues, such as: We are especially excited that preceding our meeting is the What Works conference organized and hosted by our Chair, Karen Graham. To Karen we offer our special note of gratitude for all of her hard work and long hours on our behalf.

Update on Recent Travel: By way of background, I've just returned from a one week visit to violence-torn Honduras, followed by a visit to our South Carolina Chapter. In Honduras I received a wide array of comment and analysis on our work which came down to these two observations: our A Ganar youth employment program has performed well and is viewed by top government and USAID officials as a great success that merits continuation; at the same time it was expressed by the Honduran officials that they hope we can keep our newly chartered Chapter there active and deeply engaged across the country. The duality and understanding of how we need both: innovative new programs that produce results, along with a steady, long-standing Chapter that maintains a presence of voluntary service and exchange, captures the essence of why our What Works! Conference is so timely and important. You will see in the agenda for our time together a rich offering of discussions and panel presentations on both our Chapter work and our development programs. Partners is now understood to embrace both: chapters and programs. Our challenge is to continue to refine and clarify how these two approaches can reinforce and support each other. And there is nothing easy or simple about bringing these two together.

In South Carolina I was hosted by Sam and Mary Drew and had a chance to meet many of the old and new Chapter members. We had a good turn-out of approximately 70 people who brought a strong interest in the work of Partners. Especially of interest for the Chapter was how to bring together the various pieces of educational opportunities through high school exchanges and university involvement. We were graced by the presence of Carolina Cabezas and her explanation of the youth leadership program she has developed. Paul Teeple was also able to join us and receive the recognition and applause he so richly deserves for growing the A Ganar program. Paul Noble, founder of Envision South Carolina, an on-line global classroom program based on some highly innovative internet work challenged us to imagine a level of student exchange and engagement that could open up all kinds of possibilities for the Chapter and Partners. All in all, it was a positive, upbeat visit for me and a reminder of why the focus on building our "network and net worth" is so important.

Prior to my departure I also want to note I spent the weekend in Chicago with my family working in Englewood, one of the high-violence, poor "food deserts" that constitute so many of our inner cities. It was there that I met Pastor Cory Brooks who is trying to develop a youth employment program for his parish but had no program, no method, no idea of how to do this. So I explained to him A Ganar and of course he desperately needs and wants this, assuring me that funds from President Obama's "My Brother's Keeper" initiative could under-write the training of trainers needed to bring this program to his community. We now have our curriculum completed and hope to unveil at What Works! how we can work with local chapters and local community based non-profits to bring this program to our communities. While in Honduras I reflected on the similarities of the violence, search for programs and the important role of local, community based organizations. There were nods of agreement and of course I had to reference our founder's observation that we have so much in common when it comes to the needs to improve our communities and their access to better health, educational, employment and nutrition programs: "a soul deep, hemispheric mobilization of citizens is needed."

I promised you after my last 11 page report to provide you with a much shorter summary prior to this meeting so allow me simply highlight some of the major topics we will address during our meeting. Following my report are the executive summaries for each of the program areas:

F&A: Budget, Deficit & Audit. Horacio has prepared a good report that explains and updates our understanding of some of the critical aspects of our financial status. Our deficit has grown primarily due to the lowering of our NICRA; we have not won some of the grants we had hoped for and the decisions we had hoped to have by now are still pending. The clarity we hoped for this meeting is still not in hand and thus the December 17 Board Meeting takes on additional importance. Here is the outlook for 2016 that we prepared that best captures our current condition and outlook:

> *As we enter the final quarter of 2015, our prospects for 2016 appear to be diminished due especially to the loss of the $13 million Haiti nutrition extension or amendment that we expected. We will need to raise and spend approximately $3.0 million for next year in order to maintain our current admin spending levels. We still have some big proposals currently under consideration, such as the Haiti $20 million, the USAID Honduras Sports for Development $8 million and a new submission for the DOL Paraguay $6.5 million. As we continue to heavily rely on restricted government grants, it is more important than ever for Partners to aggressively pursue unrestricted funding in order to gradually reduce the carryover deficit. We also need to avoid creating additional deficits from events, like the Convention, and instead structure these types of opportunities to make a profit.*

We will be spending special time to dig into all of these complex issues with a special presentation by Horacio on how NICRA is structured and impacts our financials. We have all come to this understanding: Partners will always be in or on the verge of carrying a deficit unless we secure independent sources unrestricted income. Under or over spending in the volatile contexts where we work will always accompany us. As such, we have been working with Alan Berkeley and a member of his law firm to present the board with the framework to create a for-profit entity that will allow to begin earning unrestricted income from a range of sources such as the SENA contract in Colombia. In addition, the board will have the opportunity to review the audit report for 2014 which reveals a number of the improvements called for in the earlier report. And yes, our negotiations with the IDB/MIF continue in a positive way, although we all realize that this has to be finalized by the end of this year.

Communications, YourMembership, PartnersConnect: the What Works agenda is built around our commitment to "double-down" on our support to our chapters and programs through improved communications that provide many more tools to our network to manage member relations, collect payments and keep our membership much better informed. Michelle and her team will be giving you a rich overview and a detailed description of many of these new improvements. Note especially how Communications is so directly tied to our plans to generate unrestricted income from the growth of membership and membership services and support.

Program Development Report: Carmen Pena and her team continues to work at a level and intensity that is a source of inspiration for all of us. We have not won some of the big grants we had hoped to win while acknowledging the highly competitive nature of each of these. In the feedback reports from the donors we have learned that we have been in the second position, just points away from winning. My confidence and support of their efforts continues as we push harder to compete.

100,000 Strong in the Americas: Matt has provided a good summary of all of the work that has been accomplished with this important initiative. We have now raised close to $7.0 million and have an additional $4 million in active cultivation. Most significantly, we are in the final stages of winning an additional $1.1 million in operational support from the Department of State, affirming the ongoing importance of this program.

Leadership, Kellogg Grant and the Kansas Leadership Center: you will have a chance to learn more about our design to develop more leadership development opportunities for our network. The Kansas Leadership Center will provide us with an overview of their work and some of their approaches. Are there other centers at

universities or affiliated with non-profits that we might access? We want to build partnerships with already existing centers and reinvest in leadership development.

Team of Teams: Restructuring our Organization. You will have had a chance to review the video description of the recent changes in assignments and organizational structure. Attached to this report you will find some of those PowerPoint slides that will provide you with additional information. Our "Team of Teams" approach grew out of our realization that while we have the traditional titles, boxes, and organizational charts required of all organizations, that in fact we needed to realize and accept that our best efforts are when we come together, form cross-program teams, and collaborate.

A Hybrid: The What Works! Conventions. The search among our chapters and the implementing organizations in the field all point to the need to get together to learn about what works and why. In addition, the realization that the Big Event Conventions of the past are extremely costly to implement and often leave us in deficit, like so many of the cities who host the Olympics. (Note here that Boston just backed out for this reason.) The first Colorado What Works "conference" followed by the Oregon What Works has lead us to believe that we need to now use the What Works thematic focus to bring together smaller meetings or "conferences" that are less financially risky but more programmatically rewarding. As such we will be able to not only enjoy the Oregon meeting but take a final review of the Guadalajara proposal and budget for 2016 in which we want to combine it as a smaller (190 planned participants) and call it a "What Works Convention." We also will review the invitation from Medellin to return to that city in 2017. For the first time ever, Partners can now plan three years into the future.

Part II

Program/Unit Executive Summaries

Public-Private Partnerships – 100,000 Strong in the Americas. We have made significant fundraising headway toward a more sustainable initiative, now have increasingly presidential numbers, and may have successfully taken our new know-how to allow Partners to successfully compete for programs in a new and global programmatic area.

- **Operational funding**: We have two breakthroughs toward our immediate goal of increasing USG operational support. We are finalizing the procurement processes for two DOS-funded sole-source grants totaling $1,144,000 that will provide flexible operational support for the next two years.
- **Private sector funding:** We are thrilled to announce a new private sector partner: *MacroUniversidades*, a network of the 34 largest Latin American public universities from 19 countries, has committed a minimum of $500,000. *Coca-Cola* has also indicated their intent to renew support us with an additional $250,000.
- **Presidential numbers:** Since our 2014 launch, corporate, government and foundation investors have contributed or pledged over $6,930,000 in cash toward the goal of $10 million cash and $10 million leverage. For every 1 dollar granted to our network of 1,498 colleges and universities (HEIs), those schools have leveraged the cash contributions 1.6 to 1. The Fund has granted nearly 50 innovation projects from nearly 500 applications received across 28 countries through six (6) competitions.
- **Expanded, global competency:** We are in the "best and final" stage of selection to implement a $1,190,000 DOS grant to build the capacity of U.S. HEIs to increase study abroad *globally*. This opportunity is independent of 100K Strong and, if we are selected, demonstrates that we have built a model that has increased our competitiveness in a new field for which we would not have competed, and that is worthy of transferring to a global program. This would the first time Partners has been selected by the USG to

implement a uniquely globally focused program. Better yet, this program has the potential to be renewed twice without competition if resources are available and performance meets expectations.

Public-Private Partnerships – **Partners Climate and Energy Programs**. We are in a sprint to secure future resources for a program area we have developed and deepened over the past five years through the *U.S.-Colombia Climate Change Fellows* and *Senior Energy and Climate Partnerships of the Americas (ECPA) Fellows* programs, augmented by additional expertise in these fields through *Farmer to Farmer* and *American/Legislative Fellows*. Current dedicated funding for ECPA II ends this year. We believe that at a time of deepened U.S. and global concern related to climate change and the importance of renewable energy sources, now is the time for Partners to double-down in our engagement. However, we do not yet have a secure path forward beyond 2015.

Agriculture & Food Security - The Agriculture and Food Security (AFS) Unit is comprised of two primary projects – the Farmer-to-Farmer Program (F2F) and the Haiti Nutrition Security Program (NSP). The budget for these two programs combined is $20,000,000 and AFS has approximately 55 full time staff in the field and in DC, as well as many additional part-time employees and consultants. As of September 2015, the F2F program fielded 144 volunteers to the focus countries of Haiti, Guatemala, Nicaragua, and the Dominican Republic, along with the Bahamas, Belize, Colombia, Jamaica, and Panama. The program assisted 83 local hosts to date – agricultural cooperatives, organizations and NGOs, educational institutions, farmers, and others. For NSP, the program has served over 20,000 women and their families to date via the Care Group Model and is implementing livelihood and other activities currently. Both programs are expected to meet their projected funding goals.

A Ganar - is a youth workforce development program that uses the power of sport to help youth throughout Latin America and the Caribbean find employment or return to school. The overall registration goal of the USAID 440 program is 5,960 youth. At least 75% of all youth who enter the program are expected to complete all A Ganar phases attesting to their competencies in teamwork, communication, discipline, respect, focus on results, and continual self-improvement. Of groups that have completed all three phases, the graduation rate is currently 70%. At least 70% of graduates from the youth work force development program will find formal employment, start a business, or return to formal education system. Currently, 63% of graduates have started formal employment or their own business or returned to the formal education system. 24 development organizations implementing and sustaining the proven A Ganar sport-for-development methodology in areas of their greatest need. Sixty-one organizations across eight countries have implemented or are implementing the A Ganar curriculum. At least 454 (145 in the Caribbean) mentors will be linked with at-risk youth in their communities. Over 1,000 mentors have volunteered with A Ganar. To date, the program has reached 101% of its youth registration goal, 85% of its graduation goal and 77% of its positive engagement goal. These numbers are expected due to the timeline of the program, with registration being the first step. The USAID funded countries of the A Ganar program (8 countries across the Carribean Basin) ends September 26, 2015.

EducaFuturo – From February through May 2015, EducaFuturo went through an External Midterm Evaluation. This evaluation was contracted by USDOL and EducaFuturo and Partners staff was involved supporting the logistics and coordination with all six sub-grantees in both countries. Recommendations resulting from the evaluation have been taken into consideration and are now part of EducaFuturo's implementation plan. EducaFuturo accomplished important milestones in its third year of implementation. As of August 2015, EducaFuturo enrolled 99% of the 5,230 children beneficiaries receiving the educational services *Espacios para Crecer* and A Ganar services. Also, EducaFuturo identified and enrolled 696 households (44% of the total target of 1,600) that will start receiving livelihoods services with the aim of increasing the family income and thus combatting child labor. (insert info about budget)

Professional Leadership Exchange/Youth Engagement Unit – Working in partnership with 13 Chapters and 9 host organizations, PLE/YE has sponsored and organized exchange fellowship programs for 114 participants, sponsored 2 hemispheric events (What Works! and Youth Colombian Leaders Conference), provided travel grants to 14 volunteers to attend events, supported 28 follow-on projects, and funded 10 small project assistance grants, covering 7 Programs: Education and Culture, Panama Teacher Match, Youth Ambassadors, Sport for Community, International Sports Programming Initiative, Bavaria Entrepreneurship Exchange and Legislative Fellows. We continue to support the ECPA Fellows Program since the organizational restructuring which moved climate and energy programs under public-private partnerships. We will also start implementation of the SENA YouthLead Program in September. Funding: The unit has led and/or supported 12 proposals in 2015 to US Government (USG) totaling $7.5 million in funding. Of these, we have secured funding to renew three programs for $800,000 in new money (Education and Culture, Youth Ambassadors, and Panama Teacher Match). We lost 3 key proposals that would have expanded upon existing programs. And we are still waiting on at least 2 more. It has been challenging to compete for Department of State (DOS) funding in the last 12 months. Available resources have decreased and competition for those limited resources has increased. We are consistently told that our proposals are competitive and strong, but were not selected, many times having lost to the incumbent implementer.

I look forward to seeing you and having rich and rewarding discussions on the many big topics that we have before us.

See you soon!

Sincerely,

Steve Vetter

Treasurer's Report (Erik Brand)
Partners of the Americas Board Meeting
September 12, 2015

Partners of the Americas, Inc. and Partners of the Americas Foundation

My first report as Treasurer was delivered to the board in July, 2015. Since then, I've had several phone conversations and email exchanges with Partners CFO Horacio Correa, which were primarily focused on 1) the formal conclusion of the 2014 audit, 2) the financial performance of the organization year-to-date relative to budget, and 3) staff projections for financial performance in 2016.

In addition, the organization's audit committee, consisting of Karen Graham, Harry Wing and myself, convened in person and over the phone on September 8, 2015, for a meeting with external auditors, along with Horacio Correa and Steve Vetter, to discuss the 2014 audit and general financial issues facing the organization in the period ahead.

I'm pleased to report we have had productive and transparent exchanges of information and viewpoints throughout the process.

As Horacio's "Finance and Administration Update" that has been conveyed to the board for this meeting reflects, the organization has made important strides in key areas, as well as suffered a number of unexpected setbacks:

1) **NICRA Recovery:** In July, our auditors were recommending a revenue adjustment that would decrease our NICRA recovery by $563,000 for 2014, a significant addition to the deficit for an organization this size. Through staff efforts, this figure in the final audit has been reduced to $408,000. However, the ending deficit for 2014 has risen to $564,000, as a result of an $86,000 loss related to the 50th anniversary activities in Brazil, and higher line-of-credit and legal expenses. Staff expects to end 2015 with a NICRA rate in the range of 26% to 28%. The current overhead rate has temporarily increased to 34.23% in 2015, however, due to our current underspending.

2) **Revenue and spending:** Staff in July were projecting that in 2015 we will avoid any under-spending, a practice that had contributed to past deficits (that is, when Partners underspends, it is unable to collect overhead charges, or NICRA, to pay its administrative expenses). However, Partners staff since then have received news that we have not received authority from USAID to spend $500,000 of available funding after the official end of the A GANAR program on September 26th. Moreover, the $13.0 million grant that had been pre-approved to expand the Haiti nutrition program has now been rejected due to a change in staff and the strategic plan of the USAID Haiti mission. These developments will make it impossible for us to reach our 2015 spending goals, staff members have conveyed.

3) **Expenditure adjustments:** Taking this shortfall into account, staff are taking steps to increase spending in other large programs to offset this as much as possible, while at the same time cutting back on administrative expenditures. More details from staff are on these changes are expected. Administrative expenses through July are $1.8 million, a figure slightly ahead of budget projections. Staff expects to end the year in line with our admin spending projections of $3.0 million.

4) **Diversification of revenue**: Partners continues to be heavily reliant on the government for the bulk of its budget (in July, the USAID Haiti, DOL Panama, A Ganar and Farmer-to-Farmer were the only four confirmed awards over $1 million), and that financial success hinges upon a relatively small number of grants. Staff are presenting to the board at this September meeting a proposal for creating new sources of unrestricted revenue, including a for-profit LLC model.

5) **Addressing the Line of Credit and IDB audit**: Staff report that they continue to push hard on the IDB/MIF for a full reimbursement of the outstanding balance of $1.25 million (the balance was $1.04 million in 2013). It remains to be seen how much of the total amount can realistically be recovered at this time, however. With interest on the line of credit running at some $25,000 per year, staff members are aware it is imperative to continue to act decisively to address this issue.

6) **Managing the Foundation endowment**: The balance of the Foundation account was $830,386, as of June 30, 2015 (I have not asked staff for a current balance at the time of this writing). As reported in the July Treasurer's Report, Partners Foundation board member Steve Murphy has been actively volunteering his time and effort to improve returns on the endowment. On September 2, Steve communicated with staff and other Foundation board members about steps to take in a "transfer strategy" that will cost efficiently bring the Foundation's account from Merrill, which has underperformed the market at relatively high expense rates, to another broker or self-directed account.

Summary: We have seen some important shifts since the July report to the board. There have been setbacks in reaching our spending goals in 2015 that staff are contending with, and the 2014 audit has concluded with significant additions to the deficit resulting from NICRA calculations. The line of credit continues to be a key focus area for staff, although no fixed date of expected conclusion has been set. In light of these things, all board members are encouraged to work with staff to ensure new methods identified for generating unrestricted revenue moving ahead will be as successful as possible, with the for-profit entity emerging as a key area of board focus of support in the period ahead.

D

Program Management & Resource Development Committee Meeting

Erik Brand - Treasurer

Meeting Called to Order at 10:20AM PST 9/12/2015

Committee Members: Erik Brand, Karen Graham, Sam Drew, Binka Le Breton, Christian Stalberg

Additional Board Members in Attendance: Wayne Chance, Lisa Martin, Raaida Mannaa, Jhani Laupus, Harry Wing

Nicra expectation: current 34% -> 26% to 28% by the end of 2015

- Partners too reliant on single sources of funding

IDB Situation:

- Interest is accruing, Steve says we should know the exact amount we'll get back by December
- Steve explains the Intellectual Property part of the A Ganar situation – how it further complicated the situation as the IDB wants the trademark.
- Horacio notes that IDB is withholding due to not have expense documentation, but that said documentation was not initially required.
- Steve notes we are willing to *share* intellectual property, and will be in touch with the board when we get the IDB's offer. We want to obtain the interest on the outstanding balance as well, given it is between 80,000-100,000 dollars.
- Karen and Erik questions whether we would arbitrate should the IDB offer a figure along the lines of 80-85%. Alan notes how expensive arbitration would be and says it wouldn't be cost effective.

Foundation:

- Around 830K left in the foundation; about the same as June 30's update.

Audits:

- Horacio mentions that in 2014 we reversed the trend of finishing at a large loss.
- 5 of our 6 findings from last year's audit were corrected in this year's.
- Horacio invites the board to utilize the audit committee for informational reports in the future.

2016

- Haiti NSP ends in May, due to USAID ending the program before the extension
- A Ganar ends in September
- 2.5 million must be won and spent in 2017 to prevent major admin cuts.
- Plan is to heavily reduce consultancy budgets

Affiliated Entity Presentation

Began at 10:56am PST

Goal of the LLC would be to be able to accept contracts outside of those which can be accepted by a 501(c)3.

All revenue-generating activities for the LLC must be smaller than our "primary" 501c3 income.
"As a 501c3, POA cannot engage in more than an insubstantial amount of 'unrelated business activities'"

- However, there is no clear definition of "substantial" given.
- Unrelated Business Activities are defined as regularly carried on trade or business actions that are not substantially related to our charitable purposes. Income from these activities (UBI, or Unrelated Business Income) IS subject to federal income tax at corporate rates.

The recommendation is to create a taxable corporate subsidiary, NOT an LLC, wholly owned by POA, which would insulate our 501c3 status (if properly structured and operated).

Wayne and Steve strongly argue for this private entity, but Christian and Jhani raise concerns due to the risks.

If POA provides human and/or physical resources to the subsidiary, it may only be done to written agreements in exchange for fair market value. The agreements must be approved by disinterested directors of each organization.

Subsidiary's Board may approve dividend or other distributions to POA, but they would NOT be subject to a tax deduction.

On dissolution, the transfer of any assets to POA will constitute a deemed sale of the assets at the subsidiary level, which must pay taxes on build-in appreciation on deemed sale.

If the subsidiary is too closely controlled by POA, the activities may be attributed to POA for tax and other purposes.

- The board cannot be identical between subsidiary and POA
- The subsidiary would require 3 directors with a minority overlapping with POA
- Subsidiary must be adequately capitalized
- Subsidiary must have its own bank accounts and tax ID number and keep its OWN set of corporate records.
- Any shared facilities and employees or other resources between POA and the subsidiary must have proper resource-sharing agreements filed wherein each entity pays its own fair share of the expenses.
- All media and other communications must make clear that they are separate entities. Each one must have its own identity, though there can be logo/name similarities.

100K Presentation Board Comments

Jhani notes she was frustrated that when she tried to connect to Purdue, she was blocked from getting any information on what universities are winning and how much.

Matt responds that the new website should have all of that information publically available. He encourages board members to come to him for warm contacts for HEI outreach.

PLE Presentation Board Comments

Harry Wing asked for greater clarity on what PLE programs won't be continuing in 2015, which Melissa then specified.

Melissa requested that 1+ board members join the advisory board to develop the licensing agreement template/strategy for the YL curriculum – The Y-Lab.

Jhani formally thanks Erik Brand for his hard work.

Harry thanks the PD staff for considering chapter roles

<u>Membership Development Committee (MDC) on 9/12/15</u>

Call to order at 4:38pm with full roll call

Michelle update:
Status of Brasilia Chapter

- Wrote Gersion and Antonia Samir. Antonia happy to e-charter, Gersion has until 9/17.
- Lisa shared detail on Gersion's desire to keep the chapter as-is with legal corporation as well as bank accounts. Would need to surrender and have ICA serve in capacity of leadership for chapter. Gersion is in possession of chapter money (a few thousand dollars)
- Tasso and Tiberio are aware of happenings on the ground. MDC should be prepared if Gersion does not respond by 9/17.
- Staff would like to empower Tasso and Tiberio on the ground to determine the best course of action based on local law.
- Brazil is on strike and Tiberio is MIA
- Create a new chapter? Despite financial loss
- How do you protect the brand? Ensure that Gersion does not steal the Partners' identity
- President of Partners has the power to dismiss individual chapter members but is registered in Brazil
- Honduras is a successful example of bringing the Honduras chapter back into the network. 4 phases to re-charter and received at What Works. President of the chapter working via the A Ganar program, an important asset for the program and the chapter. Edma is looking at extending partnerships and other opportunities but maintains realistic, level-headed mindset.
- Create a support group via PartnersConnect for Central American chapters that are all experiencing similar challenges. New website can serve as helpful tool for connecting with one another, especially through member directory.

Status of Nicaragua, Pasto, and others

- Jhani and Harry wrote the chapter and Amy for understanding of situation.
- Steve will travel there Nov 7 to discuss and attend their 50th anniversary meeting
- The effective group is based via Farmer-to-Farmer.
- Steve has been in contact with Amy
- Nicaragua has not paid dues and Wisconsin remains somewhat independent
- Jhani was responsible for communicating with Nicaragua, Harry was responsible for Pasto Narino, Wayne was St. Vincent and Lower Hudson Valley, Tiberio was responsible
- Harry and Sam got in touch with Pasto Narino and showed successful colution to problem via Board. Pasto had been out of communication for 6 months and ill. Fidel Diaz is back and President of chamber. Chapter paid by credit card via the site

Re-chartering in 2016

- Chapters may question benefits of membership so need to re-structure to ensure it's easy
- Need to take quicker action on chapters that are not dues current so we can tackle it before it's a larger issue
- Following completion of last re-chartering in 2013, 15 chapters were not officially de-chartered. They received letter of non-compliance to get back in good standing. Board opted to allow chapters to come back and wait rather than send official termination letters.
- Need to determine if anything has changed since then. 6 are chapters that aren't active. 3 chapters have experienced a lot of movement - Oklahoma, Panama, and Vera Cruz. Oklahoma is in step 4 and looking to work with Partners on business ventures
- Panama, Archimelles, on step 4 and movement

Overall chapter status:
See Michelle's slide on stats

- Huge potential to increase membership, up to 14 new chapters in 2015 if all the pieces come together. Greatest increase in the last 15 years.
- Michelle is cautiously optimistic
- What are the plans for student chapters?
    - Need continuity of leadership so new groups of students every year
    - Transition students to traditional chapter if there is a local option, facilitate interaction but not always flawless.
    - Intent is that student become empowered a a young age and that they carry the Partners flag and move on to next step in leadership journey
- Peru has experienced success with this transition
- South Carolina is looking for student chapters at high-school level
- Raaida shared experience in Colombia – UniNorte and Baranquilla, UniAtlantico and Barranquilla , EAFIT and Medellin Chapter are not connected and not going well. Need to share and teach best practices for how to work well with student leaders so all the chapters feel the movement everywhere
- Christian wants student leaders and traditional chapters to be well-connected for recruiting purposes, how can chapters work with staff to establish connections early on to shepherd the students and YA's and others to help support that transition.
    - Very dependent on personal relationships and level of openness of traditional chapter
    - Should be encouraging and flexible and students feel empowered
    - Early on we saw instances where student chapter would get going and then fizzle afterwards because they didn't get a lot of resources, support, connectivity with the network etc. Need concerted effort to integrate them and provide project ideas
    - Put more time in retention than creating new student chapters, recruitment and building phase is only one part. Staff has been heavily

focused on getting groups started but now need to focus on keeping them
    - Need increased dedication to membership, brand
    - Kellogg leadership curricula is important
- Student chapters majority are in Latin America, why?
    - Interested in the U.S., but has been a challenge to create the balance. Ones in Latin America have more institutional buy-in, less so in the U.S. because the market is very saturated. We have a region and service focus that makes us unique but haven't had the resources to push very hard.
    - Passive recruitment strategy for now

Kellogg Leadership Curriculum

- Re-activate Kellogg relationship based on lessons learned
- Finalizing curricula writing talent, a lot of lessons learned and have excellent candidates
- Part of funds will go towards curricula consultant and percent goes towards business development consultant so we think through marketing, approach, audience etc.
- Will address 12 areas of training – see slide
- Excellent tool for student leaders and seasoned volunteers alike
- University course and charge students
- Want to ensure it is accessible to chapter members, flexible, and catered to needs

Chapter Dues Collection

- We'd like to have official, standard system for collecting dues via new website.
- Need to be clear who is a member and who is not
- Don't want to give value out for free
- Passed out new draft policy for Board review
- $250 chapter dues, student $150. Dues cover 1 calendar year, send auto message around November 1, reminder Dec 1, expiration Dec 31 and no longer eligible for E/C grants etc. Would receive a notice, post expiration reminder, 90-day grace period and afterwards profile would be removed from website
- Baseline policy with allowance for exception
- Some chapters in the south will have trouble paying with this new timeline since some wait for northern counterpart to visit and give them money
- Need dues for budgeting purposes for international office
- Should include warm policy introduction so it doesn't feel too cold, board responsibility?
- Have to be up to date on dues to receive travel grant
- Jhani motioned to accept on behalf of the MDC, Wayne seconded to present to full Board moved to accept the policy.

Adjourned 5:56pm